TAKE NOTES CAPITAL

FREE GUIDE, FOR ACTIVE REAL ESTATE INVESTORS

Note Investing vs Rentals

OPTION A		OPTION B
Rental Property	VS	Mortgage Note

Same $30,000 · Same Neighborhood · Same Property

You already know real estate. You know the grind. This is what the numbers look like when you work the debt instead of the dirt.

All figures reflect April 2026 market conditions.

By **AJ Dent** · takenotescapital.com

BEFORE WE DIVE IN

What This Is, and What It Isn't

This isn't an anti-landlord manifesto. Rentals built a lot of wealth for a lot of people. But most real estate investors have never seen a true side-by-side between owning a rental and owning the *debt behind that same property*, with real current numbers.

> We're using a modest single-family home in the Midwest, the kind of market where note investing actually happens. Not a San Francisco condo or a Nashville flip. A real entry-level deal that real investors buy every day.

Mortgage rate sourced from Freddie Mac's April 2, 2026 survey (6.41% 30-yr fixed). Rent ranges reflect Midwest markets where these notes are typically traded, Ohio, Indiana, Missouri, where average 3BR rents run $1,050–$1,200/month.

OPTION A

Buy the Rental Property

You find a 3-bedroom house in a solid Midwest neighborhood. You put your $30K to work the traditional way.

Getting In

Purchase price	$85,000
Down payment (20%)	$17,000
Closing costs	$3,000
Rehab / move-in ready	$10,000
Total cash deployed	**$30,000**

MONTHLY P&L

Income & Expenses

Monthly rent (Midwest 3BR, Apr 2026)	$1,100
Mortgage, $68K @ 6.41%, 30yr	- $426
Property taxes (est.)	- $85
Insurance	- $80

Property management (10%)	– $110
Maintenance reserve (5%)	– $55
Vacancy reserve (8%)	– $88
CapEx reserve, roof, HVAC, appliances (5%)	– $55
Net monthly cashflow	**$201**

* 6.41%, Freddie Mac PMMS, week of April 2, 2026. Rent based on RentCafe / Zillow Midwest 3BR averages, Apr 2026.

NET MONTHLY CASHFLOW	ANNUAL RETURN ON $30K	MONTHLY OVERHEAD
$201	8.0%	$899

WHAT THE RESERVES DON'T COVER

Every reserve above is an estimate. Real-world surprises hit harder:

→ **HVAC replacement:** $5,000–$9,000, one unit wipes out 2–4 years of cashflow at this margin

→ **Bad tenant + eviction:** $3,000–$7,000 in legal fees plus 2–4 months of vacancy

→ **Roof repair or replacement:** $6,000–$14,000

→ **Foundation or plumbing issues:** $4,000–$20,000+

→ **Your time:** Tenant calls, inspections, managing the manager, 3–5 hours/week minimum

> At $201/month net, a single major repair can take **years** to recover from. And every landlord eventually has one.

OPTION B

Buy the Mortgage Note

Instead of buying the house, you buy the debt on it. Same neighborhood. Same collateral. Completely different experience.

Getting In

Property value (same house)	$85,000
Borrower's outstanding balance (UPB)	$67,000
Note purchase price (≈ 45¢ on the dollar)	$30,000
Rehab cost	$0
Total cash deployed	**$30,000**

MONTHLY OVERHEAD

Loan servicer (handles all payments & borrower contact)	$25
Total monthly expenses	**$25**

HOW IT PLAYS OUT, THREE SCENARIOS

SCENARIO 1, LOAN MODIFICATION

Borrower Re-Performs

8–12%
ANNUAL RETURN

Most common outcome on re-performing notes

You restructure the loan at terms the borrower can actually meet. They pay $425/month. After your $25 servicer fee, you net $400/month, every month, from your couch.

SCENARIO 2, DISCOUNTED PAYOFF (DPO)

Borrower Settles the Debt

Lump-sum settlement, often 3–6 months

40%
ROI IN ~6 MONTHS

Borrower can't re-perform but can access funds. They pay $42,000 to settle a $67,000 balance, a discount they're happy to take, and a $12,000 profit you're happy to receive.

SCENARIO 3, FORECLOSURE

The "Worst Case"

Borrower doesn't pay, doesn't settle

30%+
ROI AT EXIT

Foreclosure costs $5,000–$12,000 depending on state. You now own an $85K property for $35K–$42K all-in. You can sell it, rent it, or create a brand new note on it. The floor on note investing is still profitable.

> *The floor on a rental is negative cashflow and a property you can't sell fast enough. The floor on a note is you own the collateral at a steep discount.*

THE FULL PICTURE

Side by Side

	RENTAL	NOTE (MOD)	NOTE (DPO)	NOTE (FCL)
Cash in	$30,000	$30,000	$30,000	$30,000
Monthly cashflow	$201	$400	,	,
Annual return	8.0%*	8–12%	~40%	30%+
Tenants	Yes	Never	Never	Never
Maintenance calls	Yes	Never	Never	Never
Monthly overhead	$899	$25	$25	$25

Worst case	Negative cashflow	Own property	Own property	Own property
Time per week	3–5 hrs	1–2 hrs	1–2 hrs	1–2 hrs
Tax advantage	Depreciation	SDIRA = tax-free	SDIRA = tax-free	SDIRA = tax-free

* 8.0% rental return assumes everything goes right, no major repairs, consistent tenancy. Real-world returns are often lower after CapEx events.

TWO OBJECTIONS WORTH ADDRESSING

"What about appreciation?"

Your note is collateralized by the same property whose value you're hoping appreciates. You benefit from that upside too, without carrying the overhead. And when you foreclose and take ownership, you capture it directly.

"But depreciation offsets my rental income on taxes."

True, and it's real value. But when your overhead is $25/month instead of $899, there's far less income to offset. The bigger play is holding notes inside an SDIRA, where income is tax-deferred or completely tax-free. The write-off is less valuable when the income compounds untaxed.

WHY THE MATH WORKS

5 Structural Advantages Notes Have Over Rentals

1

Lower Entry Point

You can buy non-performing notes starting around $10K–$30K. Getting into a rental in the same market requires $25K–$50K minimum once you factor in the down payment, closing costs, and getting it rent-ready.

2

Overhead That Fits on a Napkin

$25/month. That's it. No mortgage payment, no insurance bill, no tax escrow, no management fee. Every dollar the borrower sends goes almost entirely to your return.

3

The Property Risk Stays With the Borrower

No roofs. No HVAC. No burst pipes at midnight. The borrower maintains their own home, because it's their home. Your risk is the paper, not the property.

4

More Ways to Win

A rental has two exits: sell or keep renting. A mortgage note has 14+ resolution strategies depending on the borrower's situation, re-perform, DPO, short sale, deed-in-lieu, foreclosure, partial, and more. More exits means more control.

5

Manage It From Anywhere

Your servicer handles all borrower contact. You can own notes in Ohio while living in Arizona. Try doing that with a rental in another state without a property manager eating your margin.

MAKING THE MOVE

Your 5-Step Transition Plan

You don't have to liquidate your rental portfolio to start. Here's how most RE investors make the move, gradually, intelligently, with one deal at a time.

STEP 1

01

Find the Money That Isn't Working

You probably already have note capital. You just don't know it yet.

Look at what you currently hold:

- → **Cash between deals**, that's note capital sitting idle
- → **A rental barely breaking even**, selling and redeploying into notes might outperform by 2–3x
- → **An unused HELOC**, a ready-made funding source

→ **An old 401(k) or IRA**, roll it into a self-directed account and invest tax-advantaged

This week: Write down every dollar you have that isn't actively producing returns. That number is your starting capital.

STEP 2

02

Pick One Lane

Match the strategy to where you are now, not where you want to be in five years.

YOUR SITUATION	BEST FIRST STRATEGY	WHY IT FITS
Want cashflow to replace a rental	Performing note	Income starts Day 1
Have $10–30K, want strong returns	Non-performing note	Buy deep, restructure for more upside (hands-on)
Want fast capital recycling	DPO strategy	Redeploy in 3–6 months
Want fully passive, zero work	Private lending	Fund a deal, earn 8–12% secured by real property
Have retirement money stagnating	SDIRA note investing	Same returns, tax-deferred or tax-free

This week: Pick one row from the table above. That's your lane for deal #1. Don't try to learn five strategies at once.

STEP 3

03

Set Up Your Infrastructure

Four things. One afternoon.

→ **Confirm your LLC works for note purchases.** Many RE investors already have one. Ask your CPA if it can be used for note acquisitions in the states you're targeting.

→ **Set up a loan servicer account.** They collect payments, handle borrower contact, and track balances for ~$25/month per note. Find a servicer who specializes in investor-held notes.

→ **Write your buy box.** Which states, what UPB range, 1st or 2nd lien, performing or non-performing. Having this before you see a tape prevents emotional buying.

→ **Line up your capital.** Know exactly how you're paying before you bid. Sellers move fast, deals fall apart when funding isn't ready.

This week: Block 2–3 hours. Confirm your entity, research servicers, write your buy box on paper. That's your foundation.

STEP 4

04

Get in Front of Tapes

Deal flow comes to you, once you're on the right lists.

Tapes are spreadsheets of notes for sale, sent out by banks, hedge funds, and note sellers. Here's how to get on those lists:

→ **Join note investing communities.** Facebook groups, LinkedIn groups, and forums where tape sellers regularly post available inventory.

→ **Show up at virtual meetups.** Note investing is a relationship business. Showing up once gets you on distribution lists that take months to find otherwise.

→ **Email note sellers directly.** Banks and credit unions have non-performing loan departments. A professional introduction email puts you on their radar.

→ **Work with a note broker.** They source inventory and match it to buyers, you review deals, they do the legwork.

This week: Join 2–3 note investing communities. Introduce yourself. Share your buy box. You need 3–5 quality sources, not 50.

STEP 5

05

Run One Deal. Track Everything.

Don't go all-in. Run the experiment.

Keep your rentals. Buy one note. For 90 days, track it honestly:

- → **Time spent** on the note vs. a comparable rental
- → **Actual net returns** after the servicer fee, not projected
- → **Calls you didn't get**, maintenance issues, tenant complaints, vacancy

Most investors who run this experiment reallocate more capital into notes within 12 months. Not because rentals stop working, but because the comparison becomes obvious in real time.

> **The commitment:** One note deal in the next 60 days. $15K–$30K. Treat it as a controlled experiment with your own money.

THE BOTTOM LINE

Both Can Work. But They're Not the Same.

Rentals built generational wealth for a lot of investors. That's real. But at today's rates, 6.41% on a 30-year mortgage, the math on a modest $85K rental gives you $201/month in net cashflow after every reserve. One bad year erases years of gains.

> The same $30,000 in a mortgage note delivers $400/month with $25 in overhead, backed by the same real property you'd otherwise be maintaining.
>
> The smartest investors don't choose one or the other. They use rentals to build equity and notes to build cashflow. Debt plays and equity plays, running in parallel.

> ***You don't have to stop being a landlord. You just have to ask whether every dollar you have deployed is working as hard as it could be. Real property still backs every note. You just***

aren't the one fixing the toilet.

YOUR NEXT MOVE

Take Notes Capital

We're a real estate investing company focused on buying distressed debt, opening up opportunity to investors from all walks of life. We aim for above-average returns backed by real property, to help you generate cashflow and break into real estate.

> Every portfolio is different. In 30 minutes, we'll look at what you have, what's underperforming, and exactly which note strategy fits your capital and timeline. **No pitch, just math.**
>
> **Book a Free Strategy Call →** talkwithajdent.com

OTHER FREE GUIDES

- **"7 Ways to Earn Passive Income with Mortgage Notes"**, The full strategy breakdown for investors who are new to notes
- **"How to Invest Your IRA in Mortgage Notes"**, Step-by-step SDIRA setup guide
- **"The 60-Second Tape Filter"**, How to screen any note deal in under a minute

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